

SiyaBusa ERP

INVESTOR & PARTNER DOCUMENTATION

CASH FLOW PROJECTION 2026

FINANCIAL MODEL & UNIT ECONOMICS | APRIL 2026

COMPANY	PRICING	SEED ROUND	CLASSIFICATION
Masaphokati Technologies (Pty) Ltd	R399 / user / month	R2,000,000 · 16.67% equity	Confidential

WE RULE. WE GOVERN. WE EMPOWER.

Pricing Model & Unit Economics

R399/user/month — flat rate, all-inclusive across all 25+ ERP modules

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01 — PRICING ARCHITECTURE & REVENUE PER CLIENT

Pricing Metric	Value	Notes
Price per user / month	R399	All-inclusive
Avg users per client	20	SA SME benchmark
MRR per client (avg)	R7,980	20 × R399
ARR per client (avg)	R95,760	R7,980 × 12
Minimum viable seat	5 users	R1,995/mo min
No user cap	500+	Enterprise upside
Break-even seats (M9)	451 users	MRR R179,949

Why flat-rate works: Every additional user = R399/month straight to recurring revenue. No tiering complexity. Clients self-upgrade as they onboard more staff.

Client Size	Users	MRR (R)	ARR (R)
Micro SME	5	1,995	23,940
Small SME	10	3,990	47,880
Typical — avg	20	7,980	95,760
Mid-market	50	19,950	239,400
Enterprise	100	39,900	478,800
Large enterprise	200	79,800	957,600

R7,980
MRR PER AVG CLIENT
20 users × R399

R95,760
ARR PER AVG CLIENT
annual contract value

02 — COST OF GOODS SOLD (COGS) & GROSS MARGIN

COGS definition: Direct costs to deliver the SaaS service — cloud infrastructure, payment processing, and customer-facing support staff. Engineering, sales, marketing and G&A are operating expenses that sit *below* gross profit.

COGS Component	M1	M12	Driver
① AWS Cloud Infrastructure			
EC2 App Servers (x2 t3.medium)	1,100	2,200	Load scaling
RDS PostgreSQL (db.t3.medium)	2,800	3,500	Storage growth
Redis ElastiCache	900	1,200	Session cache
S3 + CloudFront CDN	700	1,800	Bandwidth/data
Load Balancer + Route53	900	2,800	Fixed + growth
CloudWatch + Backups	600	1,800	Retention cost
AWS Subtotal	7,000	13,300	Base R8K+R8/user
② Payment Processing (Peach Payments)			
Gateway fee 2.5% of MRR	200	6,584	2.5% × MRR
③ Customer Support Staff (COGS)			
1 agent M1-M6 / 2 agents M7-M11 / 3 M12	25,000	45,000	Headcount
TOTAL COGS	33,400	64,884	
Revenue (MRR)	7,980	263,340	
GROSS PROFIT	-25,420	+198,456	
Gross Margin %	—	75.4%	

UNIT COST PER USER — MONTH 12 (660 USERS)

R399

REVENUE / USER
per month

R98

COGS / USER
infra + payments + support

R301

GROSS PROFIT / USER
per month

75.4%

GROSS MARGIN
SaaS benchmark: 70-80%

COGS/user at Each Stage	M1	M12	Y2 End
AWS per user	R350	R20	R13
Payment processing / user	R10	R10	R10
Support staff / user	R1,250	R68	R45
Total COGS / user	R1,670	R98	R68
Gross profit / user	-R1,271	R301	R331

Scale economics: AWS base cost of R8K/month is fixed. At M1 (20 users) that's R400/user; at M12 (660 users) that's R12/user — a **97% drop** in infrastructure cost per user over 12 months. Every new user added is almost pure gross profit by Year 2.

LTV / CAC Metrics	Value	Benchmark
CAC (fully blended)	R45,000	R30-80K
LTV (4yr, 75% GM)	R574,560	—
LTV : CAC	10.0 : 1	Target >3:1
CAC payback period	5.6 months	Target <12mo
Monthly churn target	<2%	—
Net revenue retention	110%+	Target >100%

12-Month Detailed Cash Flow

Revenue → COGS → Gross Profit → OpEx → EBITDA → Cash Balance | Seed: R2,000,000 SiyaBusa ERP · Investor Cash Flow · April 2026

03 — REVENUE BUILD-UP & COST OF GOODS SOLD

Line Item	M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	M11	M12
New clients signed	1	1	2	3	3	3	3	4	4	4	4	4
Total active clients	1	2	4	7	10	13	16	20	24	28	32	36
Billable users	20	40	79	137	194	250	305	379	451	522	592	660
REVENUE (MRR)	7,980	15,960	31,521	54,663	77,406	99,750	121,695	151,221	179,949	208,278	236,208	263,340
— AWS Infrastructure	8,200	8,300	8,600	9,100	9,600	10,000	10,400	11,000	11,600	12,200	12,700	13,300
— Payment Processing	200	399	788	1,367	1,935	2,494	3,042	3,781	4,499	5,207	5,905	6,584
— Cust. Support Staff	25,000	25,000	25,000	25,000	25,000	25,000	35,000	35,000	35,000	35,000	35,000	45,000
TOTAL COGS	33,400	33,699	34,388	35,467	36,535	37,494	48,442	49,781	51,099	52,407	53,605	64,884
GROSS PROFIT	-25,420	-17,739	-2,867	19,196	40,871	62,256	73,253	101,440	128,850	155,871	182,603	198,456
Gross Margin %	—	—	—	35%	53%	62%	60%	67%	72%	75%	77%	75%

04 — OPERATING EXPENSES (BELOW GROSS PROFIT)

OpEx Line	M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	M11	M12
Dev / Founders	43,000	43,000	43,000	43,000	43,000	43,000	43,000	43,000	43,000	43,000	43,000	43,000
Sales Staff	—	—	—	18,000	18,000	18,000	25,000	25,000	25,000	25,000	25,000	25,000
Marketing	15,900	15,900	15,900	15,900	15,900	15,900	15,900	15,900	15,900	15,900	15,900	15,900
Events / Roadshows	—	—	—	29,500	23,000	24,000	25,500	29,000	12,000	12,000	11,000	9,000
SaaS Tools	4,500	4,500	4,500	4,500	4,500	4,500	4,500	4,500	4,500	4,500	4,500	4,500
G&A (admin, legal)	5,000	5,000	5,000	5,000	5,000	5,000	5,000	5,000	5,000	5,000	5,000	5,000
One-Off (setup / brand)	130,000	—	—	—	—	12,000	—	—	—	—	—	—
TOTAL OPEX	198,400	68,400	68,400	115,900	109,400	122,400	118,900	122,400	105,400	105,400	104,400	102,400

05 — EBITDA & RUNNING CASH BALANCE (SEED R2,000,000)

Line Item	M1	M2	M3	M4	M5	M6	M7	M8	M9 ★	M10	M11	M12
Gross Profit	-25,420	-17,739	-2,867	19,196	40,871	62,256	73,253	101,440	128,850	155,871	182,603	198,456
Less: Total OpEx	198,400	68,400	68,400	115,900	109,400	122,400	118,900	122,400	105,400	105,400	104,400	102,400
EBITDA	-223,820	-86,139	-71,267	-96,704	-68,529	-60,144	-45,647	-20,960	+23,450	+50,471	+78,203	+96,056
CASH BALANCE (ZAR)	1,776,180	1,690,041	1,618,774	1,522,070	1,453,541	1,393,397	1,347,750	1,326,790	1,350,240	1,400,711	1,478,914	1,574,970

★ **Month 9 = EBITDA break-even.** Gross profit of R128,850 exceeds operating expenses of R105,400 for the first time.
Minimum cash is R1,326,790 at Month 8 — the seed is never at risk. Cash at Month 12: **R1,574,970**. Net cash consumed over 12 months: R425,030 (21% of seed) — 79% of seed capital preserved.

3-Year Financial Projection

Annual P&L summary: Y1 (2026) · Y2 (2027) · Y3 (2028) — base case

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06 — ANNUAL P&L SUMMARY

Metric	Year 1 (2026)	Year 2 (2027)	Year 3 (2028)	Y1→Y2	Y2→Y3
Active clients (EoY)	36	90	175	+150%	+94%
Active users (EoY)	660	1,650	3,200	+150%	+94%
MRR at year-end	R263,340	R658,350	R1,276,800	+150%	+94%
ARR (annualised)	R3,160,080	R7,900,200	R15,321,600	+150%	+94%
Full-year Revenue	R1,447,971	R5,530,000	R11,600,000	+282%	+110%
Full-year COGS	R531,201	R1,065,000	R2,118,000	+100%	+99%
Gross Profit	R916,770	R4,465,000	R9,482,000	+387%	+112%
Gross Margin %	63%*	81%	82%	—	—
Full-year OpEx	R1,341,600	R3,300,000	R6,360,000	+146%	+93%
EBITDA	-R424,830	+R1,165,000	+R3,122,000	—	+168%
EBITDA Margin	—	21%	27%	—	—
Cash (end of year)	R1,574,970	R2,739,970	R5,861,970	+74%	+114%

* Y1 gross margin is 63% — depressed by early support staff costs during months 1-3 when revenue is minimal. GM reaches **75%+ from Month 10 onwards** and stabilises at 81-82% in Y2/Y3 as infrastructure scales sub-linearly.

07 — COST STRUCTURE AT SCALE

Monthly Cost Item	Y1 Avg	Y2 Avg	Y3 Avg
COGS			
AWS Infrastructure	R11,000	R17,250	R27,400
Payment Processing	R3,800	R11,522	R24,190
Support Staff (COGS)	R32,000	R60,000	R125,000
COGS / month	R46,800	R88,772	R176,590
OPEX			
Dev / Founders	R43,000	R120,000	R280,000
Sales Team	R15,000	R60,000	R150,000
Marketing	R15,900	R25,000	R45,000
G&A + SaaS Tools	R9,500	R23,000	R45,000
OpEx / month	R111,833	R228,000	R492,000
Revenue / month (avg)	R120,664	R460,833	R966,667
GM% (avg in period)	61%	81%	82%
EBITDA / month (avg)	-R35,403	+R97,083	+R260,167

COGS PER USER — SCALE PROGRESSION

Cost Component / User	M1 20 users	M12 660 users	Y2 End 1,650 users	Y3 End 3,200 users
AWS / user	R410	R20	R13	R9
Payments / user	R10	R10	R10	R10
Support / user	R1,250	R68	R45	R39
Total COGS / user	R1,670	R98	R68	R58
Revenue / user	R399	R399	R399	R399
Gross profit / user	-R1,271	R301	R331	R341

Why gross margin expands from 63% → 82%:

Infrastructure and support are largely fixed costs. As the user base grows from 20 → 3,200, they are spread across more paying users — dramatically improving per-unit economics without any price change.

R15.3M

ARR BY YEAR 3
175 clients · 3,200 users

R5.86M

CASH BY YEAR 3
debt-free, self-funded growth

Break-Even Analysis, Sensitivity & Assumptions

EBITDA break-even detail · scenario modelling · key financial assumptions

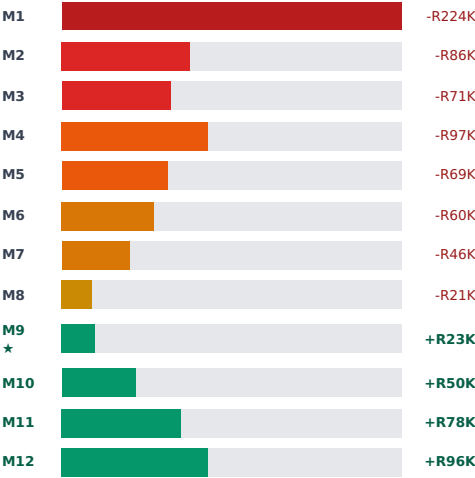
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08 — EBITDA BREAK-EVEN ANALYSIS

Break-Even Metric	Value
Break-even month	Month 9
Break-even clients	24
Break-even active users	451
Break-even MRR	R179,949
Gross profit at break-even	R128,850
Gross margin at break-even	72%
Fixed OpEx covered	R105,400/month
Required MRR formula	OpEx ÷ GM% = R146,400
Minimum cash (Month 8)	R1,326,790
Runway from seed capital	>18 months
Seed not at risk	Never drops below R1.3M

Break-even formula: Required MRR = Fixed OpEx ÷ Gross Margin % = R105,400 ÷ 72% = R146,400. At R7,980/client this requires 19 clients — achieved during Month 9 with 24 clients.

MONTHLY EBITDA — BURN TO PROFIT



09 — SCENARIO SENSITIVITY (YEAR 1)

Scenario	Growth vs Base	M12 Clients	M12 MRR	Y1 ARR	Break-Even	M12 Cash	Y1 GM%
Bear Case	−40%	22	R158,004	R1.90M	Month 11+	R1,050,000	56%
Base Case ✓	As modelled	36	R263,340	R3.16M	Month 9	R1,574,970	63%
Bull Case	+40%	50	R367,080	R4.40M	Month 7	R2,100,000	68%

Even in the bear case, cash never falls below R1M and the seed runway exceeds 18 months. The bull case accelerates break-even to Month 7 and closes Year 1 with cash exceeding the original seed investment.

10 — KEY FINANCIAL ASSUMPTIONS

Pricing model	R399/user/month, flat rate, all-inclusive. No discounts modelled. First 2 clients may receive a 30-day pilot at no charge.
Average users per client	20 users assumed across the portfolio. Range in practice: 5 (micro SME) to 200+ (enterprise).
Client churn	Zero churn modelled in Year 1 (ERP is a deeply embedded system; switching cost is high). Year 2 onward: <2% monthly churn applied.
AWS infrastructure cost	Base R8,000/month fixed + R8/active user variable. Includes EC2 (Auto Scaling), RDS PostgreSQL, Redis, S3, CloudFront, ALB, Route53, CloudWatch. FX rate: R18.50/USD. A 10% ZAR depreciation adds ~R900/month at M12.
Payment processing	Peach Payments (SA-native): 2.5% transaction fee on MRR. Monthly debit order collection.
Support staff (COGS)	M1-M6: 1 customer support agent @ R25,000/month. M7-M11: 2 agents @ R35,000/month total. M12+: 3 agents @ R45,000/month total. Direct service delivery — classified as COGS, not OpEx.
Dev / Founders (OpEx)	2 founders drawing R43,000/month combined throughout Year 1. Engineering headcount grows in Year 2 (R120K/month).
Sales staff (OpEx)	First sales hire in Month 4 @ R18,000/month. Upgraded or second hire from Month 7 @ R25,000/month.
Marketing spend (OpEx)	R15,900/month recurring drawn from the R2M marketing budget allocation. Event costs drawn separately as they occur.
Seed capital deployment	R2,000,000 received Month 0. 16.67% equity issued. Pre-money valuation R10,000,000. No debt, no further raise modelled until break-even is achieved.
Taxation	No income tax in Year 1 (operating at a loss). 28% corporate tax applied from Year 2 on EBITDA after assessed loss carry-forward.
LTV calculation basis	LTV = Avg MRR per client (R7,980) × 12 months × 4-year retention × 75.4% gross margin = R574,560. CAC R45,000, payback 5.6 months.

DISCLAIMER: All projections are forward-looking statements based on management assumptions as at April 2026. Actual results may differ materially from those presented. This document is prepared for informed investor discussion purposes only and does not constitute a prospectus, guarantee of future performance, or offer to sell securities. Prepared by Masaphokati Technologies (Pty) Ltd. **Strictly confidential — not for distribution.**

